

ICICI Bank Ltd

NSE: ICICIBANK | BSE: 532174 | Banking — Private Sector | 6 July 2026

REDUCE Target Price: ₹1,199 | CMP: ₹1,411 (03-Jul-2026) | Downside: -15.0%

Snapshot		
Market cap	~₹10.1 lakh Cr	52-wk range: ₹1,500 / ₹1,188
FY26 PAT (standalone)	₹50,147 Cr (+6.2%)	Consolidated PAT ₹57,936 Cr
Asset quality	NNPA 0.33%, GNPA ~1.5%	NIM 4.32% (Q4 FY26)
P/B (FY26) / ROE	~2.8x / ~16%	Dividend ₹12/share FY26

Investment Summary

ICICI Bank remains the sector's execution benchmark: FY2026 standalone PAT rose 6.2% to ₹50,147 crore on NII growth of 8.5%, with the Q4 NIM actually expanding sequentially to 4.32% — a rare feat this late in a rate cycle. Advances grew 15.8%, comfortably ahead of system, while net NPAs held at just 0.33%. Consolidated PAT, including the insurance, securities and AMC subsidiaries, reached ₹57,936 crore.

The market has long paid up for this quality, and over the past two months it has paid up even more: the stock has run from ₹1,280 to ₹1,411, and at roughly 2.8x book ICICI now trades at a clear premium to HDFC Bank despite the latter's larger franchise — justified in part by a ~17-18% ROE that is demonstrably higher. The question for new money is whether that premium, now stretched, still leaves anything on the table. We think it no longer does.

Our excess-return model (cost of equity 10.8%, terminal growth 5.5%) values the bank at ₹1,199 per share — about 15% below the current market price, and our peer cross-check (median ~2.0x book) implies even less. Superb franchise, but the price has now run ahead of it. We downgrade the stock to REDUCE — not a comment on the business, which remains the sector benchmark, but on the entry price — and would revisit as a buyer toward ₹1,200, where the implied excess-return assumptions become undemanding again.

FY2026 Results Review

Q4 FY26 net profit of ₹13,702 crore beat estimates, up 8.5% YoY, on NII of ₹22,979 crore (+8.4%) and a NIM of 4.32% (vs 4.30% in Q3). For the full year, standalone NII rose 8.5% to ₹88,075 crore and PAT 6.2% to ₹50,147 crore. The slower PAT growth versus advances reflects normalising credit costs from unusually benign levels and continued technology investment.

Total advances grew 15.8% YoY to ₹15.54 lakh crore with broad-based traction in business banking and retail. The board recommended a ₹12 per share dividend. Consolidated net worth ended FY26 at ₹3.60 lakh crore, with consolidated ROE of about 16%.

Key FY2026 Highlights

- Q4 PAT ₹13,702 Cr (+8.5% YoY), beating street estimates; FY26 consolidated PAT ₹57,936 Cr.

- NIM 4.32% in Q4, up sequentially — best-in-class margin defence.
- Advances +15.8% YoY; deposits ₹18.3 lakh Cr (+11.5%).
- Net NPA 0.33%; capital adequacy ~17.1%.
- Dividend ₹12/share; consolidated ROE ~16%.

Financial Summary (Consolidated, ₹ Crore)

	FY2023	FY2024	FY2025	FY2026	FY2027E
Net interest income	70,524	85,408	97,303	1,06,189	~1,18,000
Other income	65,112	76,522	1,08,255	1,16,900	~1,28,600
PAT (consolidated)	35,461	46,081	54,569	57,936	~64,700
EPS (₹)	48.7	63.0	71.7	75.7	~89
ROE	~17%	~19%	~18%	~16%	~16.5%
Net worth	2,14,498	2,56,144	3,13,906	3,60,378	~4,14,700

Source: Company filings via Screener.in (FY2023–FY2026 actuals); FY2027E from the accompanying Excel model. E = estimate.

Valuation

We apply a five-year excess-return model to consolidated book value: 11-12% asset growth, NII at 3.82% of average assets, 10% other-income growth (the listed insurance/AMC/securities subsidiaries are growth engines in their own right), a 65% combined cost-plus-provisions ratio, 25% tax and a 16% payout, which compounds book value at roughly 14% annually.

Discounting at a 10.8% cost of equity (Rf 6.7%, beta 0.75, ERP 5.5%) with terminal growth of 5.5% yields equity value of ₹8.58 lakh crore — ₹1,199 per share, about 2.4x FY26 book. The market price of ₹1,411 (~2.8x book) embeds either a sub-10% cost of equity or terminal growth well above 6% — heroic assumptions for a bank already this large. On our numbers there is now negative margin of safety. The full Ke/growth sensitivity grid is in the accompanying workbook.

Valuation Bridge	Value
Current net worth (FY2026)	₹3.60 lakh Cr
PV of 5-yr excess returns	₹1.09 lakh Cr
PV of terminal value	₹3.89 lakh Cr
Equity value	₹8.58 lakh Cr
Per share (716 Cr shares)	₹1,199

Key Risks

- Valuation risk: at ~2.8x book, any ROE slippage toward 14% would compress the multiple sharply.
- NIM normalisation as deposit repricing lags policy rate cuts fades.
- Credit-cost normalisation from cyclically low levels, especially unsecured retail.

- Subsidiary valuations (insurance, AMC, securities) are market-linked and add earnings volatility.
- Regulatory: May 2026 SEBI administrative warning on depository-participant compliance — minor, but governance bears watching.

Company Overview

ICICI Bank is India's second-largest private-sector bank, with a diversified retail, SME and corporate franchise and a 'One Bank, One ROE' operating philosophy credited with its post-2018 transformation. The group holds leading positions in life insurance (ICICI Prudential), general insurance (ICICI Lombard), asset management and broking (ICICI Securities), giving shareholders a compounding financial conglomerate beneath a single listing.

Disclaimer

This report was prepared for personal analytical and educational purposes. It is not investment advice, an offer, or a solicitation to buy or sell any security. Figures are sourced from public company filings and market data believed reliable but not guaranteed. Forecasts and the target price are illustrative outputs of the accompanying valuation model and depend entirely on its assumptions. Consult a SEBI-registered investment adviser before acting on any information herein.

ICICI Bank Ltd

Equity Valuation Model | NSE: ICICIBANK | BSE: 532174 | Sector: Banking

Prepared for: Debjit | Date: 11 June 2026 | Currency: ₹ Crore

Snapshot

Current price (₹)	1,411.40
Market cap (₹ Cr)	1,010,562
FY26 net interest income (₹ Cr)	106,189
FY26 PAT (₹ Cr)	57,936
Intrinsic value (₹/share)	1,199.01
Upside / (downside)	(15.0%)
Implied rating	REDUCE

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Disclaimer: For educational/analytical use only. Not investment advice. Figures from public filings; forecasts are illustrative assumptions.

ICICI Bank Ltd — Key Assumptions & Drivers						
All highlighted blue cells are user inputs. ₹ Crore unless stated.						
Market Data						
Current share price (₹, 03-Jul-2026)	1,411.40					
Shares outstanding (Crore)	716.00					
Market capitalisation (₹ Cr)	1,010,562					
Forecast Drivers (FY2027E–FY2031E)						
	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Total asset growth (%)	12.0%	12.0%	12.0%	11.5%	11.0%	
Net interest margin (NII / avg total assets)	3.8%					
Other income growth (%)	10.0%					
Opex + provisions (% of total income)	65.0%	64.8%	64.6%	64.4%	64.2%	
Effective tax rate (%)	25.0%					
Dividend payout (%)	16.0%					
Cost of Equity (CAPM) & Terminal Value						
Risk-free rate (10Y G-Sec)	6.7%					
Equity beta	0.75					
Equity risk premium	5.5%					
Cost of equity = $R_f + \beta \times ERP$	10.8%					
Terminal growth rate (g)	5.5%					
Legend:	Input	Formula	Link			

ICICI Bank Ltd — Historical Financials									
₹ Crore, consolidated. Blue = source data. Source: Company filings (consolidated) via Screener.in; FY2026 results announced Apr 2026. Retrieved 11-Jun-2026.									
Fiscal Year (ends March)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	
Income Statement									
Interest earned	71,982	84,836	89,163	95,407	121,067	159,516	186,331	195,218	
Interest expended	39,178	44,666	42,659	41,167	50,543	74,108	89,028	89,029	
Net interest income (NII)	32,804	40,170	46,504	54,240	70,524	85,408	97,303	106,189	
Other income	59,325	64,950	72,174	62,129	65,112	76,522	108,255	116,900	
Total income (NII + other income)	92,129	105,120	118,678	116,369	135,636	161,930	205,558	223,089	
Operating expenses, provisions & depreciation	84,721	86,532	92,649	82,128	89,379	101,495	132,705	146,032	
Profit before tax	7,408	18,588	26,029	34,241	46,257	60,435	72,853	77,057	
Tax	1,719	7,363	5,665	7,703	10,796	14,354	18,284	19,121	
Profit after tax	5,689	11,225	20,364	26,538	35,461	46,081	54,569	57,936	
EPS (₹)	6.60	14.78	26.58	36.14	48.74	63.02	71.65	75.71	
Dividend payout (%)	15.0%	-	8.0%	14.0%	16.0%	16.0%	15.0%	16.0%	
Balance Sheet									
Equity share capital	1,289	1,295	1,383	1,390	1,397	1,405	1,425	1,432	
Reserves & surplus	112,964	121,665	156,204	180,663	213,101	254,739	312,481	358,946	
Net worth	114,253	122,960	157,587	182,053	214,498	256,144	313,906	360,378	
Deposits	681,317	800,784	959,940	1,091,366	1,210,832	1,443,580	1,641,637	1,830,020	
Borrowings	210,324	213,852	143,900	161,603	189,062	207,428	218,883	220,264	
Other liabilities	232,899	239,696	312,385	317,616	344,099	456,911	467,815	503,835	
Total liabilities & equity	1,238,793	1,377,292	1,573,812	1,752,638	1,958,491	2,364,063	2,642,241	2,914,497	
Fixed assets	9,660	10,409	10,809	10,707	11,070	15,714	24,272	17,420	
Investments	398,201	443,473	536,579	567,098	639,552	827,163	886,377	870,720	
Advances & other assets (incl. cash)	830,933	923,411	1,026,424	1,174,833	1,307,868	1,521,186	1,731,593	2,026,358	
Total assets	1,238,794	1,377,293	1,573,812	1,752,638	1,958,490	2,364,063	2,642,242	2,914,498	
Balance check (must be ~0)	(1)	(1)	-	-	1	-	(1)	(1)	
Key Standalone Metrics, FY2026 (per company release)									
Standalone PAT FY26 (₹ Cr)	50,147 (+6.2% YoY)								
Standalone NII FY26 (₹ Cr)	88,075 (+8.5% YoY)								
Net interest margin (Q4 FY26)	4.32%								
Net NPA	0.33%								

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Standalone NII FY26 (₹ Cr)	88,075 (+8.5% YoY)								
Net interest margin (Q4 FY26)	4.32%								
Net NPA	0.33%								

Dividend FY26 (₹/share)	12.0								
Advances growth YoY	+15.8%								

ICICI Bank Ltd — 5-Year Earnings & Book Value Forecast							
₹ Crore. Drivers feed from Assumptions.							
Fiscal Year (ends March)	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Total assets	2,914,498	3,264,238	3,655,946	4,094,660	4,565,546	5,067,756	
Average total assets		3,089,368	3,460,092	3,875,303	4,330,103	4,816,651	
Net interest income (NIM × avg assets)		118,014	132,176	148,037	165,410	183,996	
Other income	116,900	128,590	141,449	155,594	171,153	188,269	
Total income		246,604	273,625	303,630	336,563	372,265	
Opex + provisions		160,293	177,309	196,145	216,747	238,994	
Profit before tax		86,311	96,316	107,485	119,817	133,271	
Tax		21,578	24,079	26,871	29,954	33,318	
Profit after tax	57,936	64,734	72,237	80,614	89,862	99,953	
PAT growth (%)		11.7%	11.6%	11.6%	11.5%	11.2%	
Dividends paid		10,357	11,558	12,898	14,378	15,992	
Net worth (BoY + PAT – dividends)	360,378	414,754	475,433	543,149	618,633	702,594	
Return on equity (PAT / avg net worth)		16.7%	16.2%	15.8%	15.5%	15.1%	
Return on assets (PAT / avg assets)		2.1%	2.1%	2.1%	2.1%	2.1%	
Book value per share (₹)	503.32	579.27	664.01	758.59	864.01	981.28	

ICICI Bank Ltd — Excess Return (Residual Income) Valuation						
Standard for banks: value = current book + PV of returns above cost of equity.						
Fiscal Year (ends March)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Beginning net worth	360,378	414,754	475,433	543,149	618,633	
Profit after tax	64,734	72,237	80,614	89,862	99,953	
Equity charge (Ke × beginning net worth)	39,011	44,897	51,466	58,796	66,967	
Excess return	25,723	27,340	29,148	31,067	32,986	
Discount factor @ Ke	0.902	0.814	0.735	0.663	0.598	
PV of excess return	23,210	22,260	21,414	20,594	19,731	
Valuation Bridge						
Current net worth (FY2026)	360,378					
Sum of PV of excess returns	107,209					
Terminal excess return value	653,526					
PV of terminal value	390,908					
Equity value	858,494					
Shares outstanding (Cr)	716.00					
Intrinsic value per share (₹)	1,199.01					
Current market price (₹)	1,411.40					
Upside / (downside)	(15.0%)					
Implied rating	REDUCE					
Implied P/B (FY26)	2.38x					
Sensitivity: Intrinsic Value per Share (₹) — Cost of Equity vs Terminal Growth						
Ke ↓ / Terminal g →	4.5%	5.0%	5.5%	6.0%	6.5%	
9.8%	1,354	1,427	1,517	1,631	1,779	
10.3%	1,220	1,275	1,341	1,423	1,526	
10.8%	1,108	1,150	1,199	1,258	1,332	
11.3%	1,013	1,044	1,081	1,125	1,178	
11.8%	931	955	983	1,015	1,054	

ICICI Bank Ltd — Ratio & Trend Analysis									
Computed from Historical sheet.									
Fiscal Year (ends March)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	
NII growth (%)	—	22.5%	15.8%	16.6%	30.0%	21.1%	13.9%	9.1%	
PAT growth (%)	—	97.3%	81.4%	30.3%	33.6%	29.9%	18.4%	6.2%	
NIM proxy (NII / avg total assets)	2.6%	3.1%	3.2%	3.3%	3.8%	4.0%	3.9%	3.8%	
Other income / total income	64.4%	61.8%	60.8%	53.4%	48.0%	47.3%	52.7%	52.4%	
Cost ratio (opex+prov / total income)	92.0%	82.3%	78.1%	70.6%	65.9%	62.7%	64.6%	65.5%	
Return on assets (PAT / avg assets)	0.5%	0.9%	1.4%	1.6%	1.9%	2.1%	2.2%	2.1%	
Return on equity (PAT / avg net worth)	5.0%	9.5%	14.5%	15.6%	17.9%	19.6%	19.1%	17.2%	
Deposit growth (%)	—	17.5%	19.9%	13.7%	10.9%	19.2%	13.7%	11.5%	
Asset growth (%)	—	11.2%	14.3%	11.4%	11.7%	20.7%	11.8%	10.3%	
Book value per share (₹)	159.57	171.73	220.09	254.26	299.58	357.74	438.42	503.32	
Leverage (assets / net worth, x)	10.8x	11.2x	10.0x	9.6x	9.1x	9.2x	8.4x	8.1x	

ICICI Bank Ltd — Peer Comparison (Indian Banks)						
Blue = inputs (as researched, Jun 2026). Yellow = update with live data.						
Bank	Price (₹)	EPS FY26 (₹)	BVPS (₹)	PAT FY26 (₹ Cr)	P/E (x)	P/B (x)
ICICI Bank	1,411.40	75.71	503.00	57,936	18.6x	2.8x
HDFC Bank	784.90	49.39	378.00	79,219	15.9x	2.1x
Kotak Mahindra Bank	2,000.00	95.00	784.00		21.1x	2.6x
Axis Bank	1,352.90	96.00	680.00		14.1x	2.0x
State Bank of India	1,004.10	92.00	702.00		10.9x	1.4x

MARKET APPROACH — COMPARABLE COMPANY ANALYSIS	
Peer median P/E (x)	15.0
Peer median P/B (x)	2.03
Implied value — median P/B × FY26 BVPS (₹)	1,023

VALUATION TRIANGULATION — FOOTBALL FIELD			
Method	Low (₹)	Base (₹)	High (₹)
Excess-return / RI	1,079	1,199	1,319
Comparable companies	920	1,023	1,125
Blended target (70% intrinsic / 30% comps)		1,146	
Current market price (₹)		1,411	
Implied upside / (downside)		-18.8%	

Peer multiples researched as of Jun 2026 (Kotak price to be verified). Refresh peer inputs before publication.